

Ouster, Inc.

NASDAQ: OUST | Technology — 3D Digital Lidar & Spatial-AI Sensing | Report date: 03 Jun 2026

RATING	12-M TARGET	IMPLIED RETURN	CMP (03 Jun 26)
REDUCE	\$39.00	-15.3%	\$46.03

Conviction: Medium · Investment horizon: 12 months · Suggested accumulation zone: \$28–\$34

Market Cap	\$2.93 Bn	Enterprise Value	\$2.78 Bn
52-Wk High / Low	\$49.39 / \$11.87	Shares Outstanding	63.67 M
P/E (TTM)	n/a (loss)	Forward P/E	n/a (loss)
P/S (TTM)	15.81x	P/B	10.6x
EV / Sales (TTM)	14.97x	Book Value / Sh	\$4.34
Revenue (TTM)	\$185.3 M	Net Income (TTM)	-\$55.8 M
Gross Margin (TTM)	49.0%	Adj. EBITDA (FY25)	-\$12 M
ROE (TTM)	-20.8%	ROCE (TTM)	-24.1%
Net Cash	\$155.7 M	Debt / Equity	0.06x
Beta (5Y)	3.24	Dividend Yield	Nil
Inst. Ownership	47.7%	Short % of Float	10.0%
Street PT (n=7)	\$46.86	Next Earnings	Aug 2026 (Q2)

Investment thesis (one line): Best-capitalised Western digital-lidar pure-play, but a 15.8x-sales valuation already prices in flawless execution.

Prepared by: Senior Analyst, Technology & Industrials · All financials sourced from stockanalysis.com (fetched 03 Jun 2026). Forward figures marked (E) are MPM estimates grounded in management's 30–50% revenue-growth framework and 35–40% gross-margin target.

2. INVESTMENT THESIS

- **Reason 1 — Best-capitalised, highest-margin Western pure-play:** Ouster holds \$173M cash and \$155.7M net cash with negligible debt (D/E 0.06x), and posted an industry-leading 49% GAAP gross margin in FY2025 (up from 36% in FY2024) while delivering its 13th straight quarter of product-revenue growth. Among Western pure-plays it is the only one approaching scale with a fortress balance sheet.
- **Reason 2 — Digital (CMOS) architecture is a structural cost/scale edge:** Ouster's single-chip digital lidar underpins a credible path to its 35–40% gross-margin and 30–50% revenue-growth framework. The Rev8 sensor (world-first native colour, 2x range/resolution, ASIL-B functional safety, ~200 patents) is a drop-in replacement for Rev7, protecting the installed base while opening auto/robotaxi sockets management calls a 'multi-billion-dollar opportunity'.
- **Reason 3 — Diversified, multimodal 'physical-AI' platform:** Revenue spans smart infrastructure, industrial/robotics (warehouse automation, yard logistics, ITS) and automotive — over 25,000 sensors shipped in 2025 (+48%). The Feb-2026 Stereolabs acquisition adds stereo cameras + spatial-AI software, repositioning Ouster from a lidar vendor to an end-to-end sensing-and-perception platform and expanding the addressable market beyond lidar hardware.
- **Near-term catalyst (6–12 months):** The Rev8 ramp and conversion of 20+ waiting customers, plus any named automotive/robotaxi design win, are the realistic positive triggers — the swing factor on whether 2026 product growth lands at the top or bottom of the 30–50% range.
- **Biggest structural risk:** Chronic cash burn funded by serial dilution. FY2025 operating cash flow was -\$40M and FCF -\$65M; the gap is plugged via at-the-market equity sales (+20% YoY share count, \$95.6M net raised at an average \$20.88 — well below today's price), and management does not expect to 'hit profitability stride' until somewhere within 2027.

Net read: the bull case is real but largely in the price. At 15.8x trailing sales versus a profitable, larger Hesai at ~7x, and with ~14% of FY2025 revenue (IP royalties) set to evaporate, the risk/reward skews negative at \$46. We rate the stock REDUCE.

3. BUSINESS OVERVIEW

- **What it does:** Ouster designs and manufactures high-resolution digital lidar sensors and, increasingly, a unified sensing-and-perception platform (lidar + cameras + AI compute + sensor-fusion/perception software) for autonomy and 'physical AI'. Its core OS hardware line spans four models — OSDome (hemispheric), OS0 (ultra-wide), OS1 (mid-range) and OS2 (long-range).
- **Business model:** Predominantly hardware product sales (sensors), increasingly bundled with software/compute, plus a smaller, lumpier stream of IP-licensing royalties. Reported as a single operating segment. Revenue mix is shifting from project/pilot toward repeat volume orders as verticals scale.
- **Revenue by vertical:** FY2025 product revenue (\$147M, +32% YoY) was led by industrial & robotics — warehouse automation, robotaxi and mapping. In Q1 2026 the strength rotated to smart infrastructure and industrial (warehouse automation, yard logistics, intelligent transportation). The company sells globally across the Americas, EMEA and Asia-Pacific.
- **Volumes & visibility:** Over 25,000 sensors shipped in FY2025 (+48% YoY); 12,600+ shipped in Q1 2026 of which lidar was ~65% (the balance now cameras, post-Stereolabs). Ouster does not disclose a hard order-book figure; forward visibility rests on its 30–50% growth framework and Q2-2026 revenue guidance of \$49.5–52.5M.
- **Recent strategic developments (last 12 months):** (i) completed the Stereolabs acquisition on 4 Feb 2026 (stereo cameras + spatial AI); (ii) launched the Rev8 OS digital lidar with native colour, 2x range/resolution and ASIL-B functional safety; (iii) recognised ~\$23M of IP-licensing royalties in FY2025, guided to fall below \$5M in 2026.
- **Ownership:** No promoter/controlling shareholder (post-SPAC, post-Velodyne-merger structure). Institutions own ~47.7% and insiders ~3.3%; float is 61.5M of 63.7M shares. Co-founder Angus Pacala remains CEO. There is meaningful short interest at ~10% of float.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** Third-party estimates put the global lidar market at roughly \$5–13 Bn by 2030 (MarketsandMarkets ~\$12.8 Bn by 2030; Market Research Future ~\$5.3 Bn by 2030 at a 22.4% CAGR), with Asia-Pacific the fastest-growing region (~34% CAGR). Demand is driven by autonomous vehicles/ADAS, robotics, smart infrastructure and 3D mapping.
- **Tailwinds:** Re-acceleration of L4 robotaxi/robotruck deployments, warehouse and yard automation, intelligent-transport build-outs, and the broader 'physical AI' theme that pairs 3D sensing with on-device perception. Functional-safety (ASIL-B) certification is becoming a gating requirement that favours scaled, well-funded vendors.
- **Headwinds:** Brutal price competition (especially from Chinese volume leaders), automotive design-cycle length and cancellation risk, customer concentration, and a capital-markets environment that punishes cash burn. Several Western peers have delisted, reverse-split or restructured.
- **Competitive moat — Pricing power: Weak.** Lidar is commoditising on price; Ouster competes on performance-per-dollar, not pricing power.
- **Competitive moat — IP / Technology: Strong.** ~200 patents underpin Rev8, including a world-first native-colour lidar built on a decade of in-house CMOS silicon work; the digital architecture is genuinely differentiated.
- **Competitive moat — Scale / Balance sheet: Moderate-to-Strong.** \$155.7M net cash and 25k+ units/yr give it staying power most Western peers lack — but China's Hesai ships far greater volumes at lower cost.
- **Competitive moat — Switching costs: Moderate.** Drop-in Rev7→Rev8 compatibility and a growing software/perception layer raise stickiness once a customer designs Ouster in.
- **Value-chain position:** Tier-1/2 sensing-and-perception supplier — upstream of OEMs and robotics/automation integrators, now moving toward a fuller 'solutions' stack with compute and software.

Listed competitor snapshot (stockanalysis.com, 03 Jun 2026; figures in USD):

Company (Ticker)	CMP	Mkt Cap	TTM Rev	ROCE	Op Mgn
Hesai Group (HSAI)	\$21.66	\$3.39 Bn	\$461.5 M	+2.1%	+6.1%
Aeva Technologies (AEVA)	\$27.76	\$1.75 Bn	\$21.0 M	-101%	-631%
Innoviz Tech (INVZ)	\$0.78	\$167.8 M	\$44.8 M	-82%	-179%
MicroVision (MVIS)	\$0.41	\$136.3 M	\$1.6 M	-140%	-5938%
Ouster (OUST)	\$46.03	\$2.93 Bn	\$185.3 M	-24.1%	-37.4%

Hesai reports in RMB; CMP/Mkt Cap/TTM Rev shown in USD per source overview. Ouster row highlighted. Read: Ouster is the #2 global pure-play by market cap and revenue with the best returns profile of the loss-makers — but Hesai is larger, profitable and trades far cheaper on sales.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** Co-founder Angus Pacala (Stanford mechanical engineering; ex-Quanergy) has been CEO since founding Ouster in 2015 and led it through the 2021 SPAC listing and the 2023 Velodyne merger. CFO Ken Gianella runs finance and has been the public face of the 'path-to-profitability' framework.
- **Capital-allocation track record — mixed:** The defining act was the all-stock 2023 Velodyne merger, which brought scale and IP but was followed by a \$166.7M goodwill impairment in FY2023, underlining that the deal was overpriced at signing. Since then management has tightened opex (targeting growth of just 5–8% YoY) and improved gross margin sharply — a genuine operational turnaround.
- **FCF deployment:** The company has never generated free cash flow — cumulative retained losses stand at ~\$991M. Capital has been consumed by operating losses and, in FY2025, a step-up in capex to \$24.9M (from \$3.8M) to build manufacturing/silicon capability. There is no buyback and no dividend (none expected).
- **Funding via dilution:** Operations are funded by equity. Through 31 Mar 2026 the ATM programme sold 4.67M shares at an average \$20.88 for ~\$95.6M net; diluted share count rose ~20% YoY. Issuance well below the current \$46 price is value-dilutive to existing holders and is the central stewardship concern.
- **Stock-based compensation:** SBC of \$40.8M in FY2025 equals ~24% of revenue and is the principal bridge between the -\$74M GAAP operating loss and the much flatter 'adjusted EBITDA'. Heavy SBC both dilutes holders and flatters non-GAAP profitability — investors should weight GAAP.
- **Governance:** No promoter/pledge concept (US listing). No controlling shareholder; board and audit structure are conventional. Key watch-items are the aggressiveness of non-GAAP adjustments and continued reliance on the ATM. No qualified audit opinion or auditor change has been flagged.

India-specific fields (promoter holding, pledge %, FII/DII split, face value) are N/A for a US-listed issuer.

6. FINANCIAL DEEP-DIVE

Income Statement (\$M unless stated; FY ends 31 Dec; 3 actuals + 2 estimates)

(\$ M)	FY23	FY24	FY25	FY26E	FY27E
Revenue	83.3	111.1	169.4	212.0	280.0
Revenue growth %	103.0%	33.4%	52.5%	25.2%	32.1%
Gross profit	8.3	40.5	83.4	95.0	134.0
Gross margin %	10.0%	36.4%	49.3%	44.8%	47.9%
R&D; expense	91.2	58.1	65.2	70.0	76.0
SG&A; expense	123.6	86.6	92.3	95.0	100.0
Operating income	-373.2	-104.2	-74.0	-60.0	-32.0
Operating margin %	-448%	-93.8%	-43.7%	-28.3%	-11.4%
Interest income	9.0	8.8	9.5	8.0	7.0
Net income (GAAP)	-374.1	-97.0	-60.4	-50.0	-24.0
EPS (diluted, \$)	-10.10	-2.08	-1.07	-0.75	-0.36
EBITDA	-351.5	-89.4	-61.1	-38.0	-12.0
Adj. EBITDA	n/a	-41.0	-12.0	-8.0	+12.0

FY23 operating loss includes a \$166.7M goodwill impairment (Velodyne merger). FY25 revenue includes ~\$23M IP royalties (guided <\$5M in FY26). (E) = MPM estimates per management's 30–50% growth / 35–40% GM framework and royalty step-down.

Balance Sheet (\$M; 3 fiscal-year actuals + latest reported quarter)

(\$ M)	FY23	FY24	FY25	Q1'26
Cash + ST investments	190.1	172.0	208.6	173.1
Trade receivables	25.1	28.1	36.3	31.4
Inventory	23.2	16.4	23.6	n/a

(\$ M)	FY23	FY24	FY25	Q1'26
Net PP&E;	28.8	24.5	45.3	47.7
Goodwill	0.0	0.0	0.0	38.5
Other intangibles	24.4	17.8	13.3	35.0
Total assets	330.7	276.1	349.5	381.5
Total debt (incl. leases)	69.9	20.3	17.1	17.4
Total liabilities	151.1	95.2	87.8	105.9
Total equity	179.7	180.9	261.7	275.6
Net cash	120.3	151.8	191.5	155.7

Q1'26 = quarter ended 31 Mar 2026. Goodwill/intangibles step-up in Q1'26 reflects the Stereolabs acquisition. Inventory not separately disclosed for the latest quarter (n/a).

Cash Flow (\$M; 3 actuals + TTM)

(\$ M)	FY23	FY24	FY25	TTM
Net income	-374.1	-97.0	-60.4	-55.8
Depreciation & amort.	21.7	14.7	12.9	13.4
Stock-based comp.	57.7	40.5	40.8	39.8
Operating cash flow	-137.9	-33.7	-40.0	-42.4
Capex	-3.0	-3.8	-24.9	-26.9
Free cash flow	-140.9	-37.5	-64.8	-69.3
Stock issued (ATM etc.)	16.0	59.7	97.6	67.8
Financing cash flow	15.7	15.4	97.6	97.7
Net change in cash	-71.6	-4.5	21.9	23.9

FCF has been negative every year. The positive net change in cash in FY25/TTM is driven entirely by equity issuance, not operations.

Returns & Valuation Ratios (per source ratios page)

Ratio	FY23	FY24	FY25	TTM
Gross margin %	10.0%	36.4%	49.3%	49.0%
Operating margin %	-448%	-93.8%	-43.7%	-37.4%
ROE %	-213%	-53.8%	-27.3%	-20.8%
ROCE %	-157%	-46.6%	-31.1%	-24.1%
ROIC %	-383%	-113%	-73.0%	-52.1%
P/S (x)	4.0	5.8	7.8	15.8
P/B (x)	1.8	3.6	5.0	10.6
EV/Sales (x)	2.5	4.4	6.6	15.0
Inventory turnover (x)	3.5	3.6	4.3	8.0

Returns are improving off a deeply negative base but remain negative. Valuation multiples have roughly quadrupled in three years — the stock has re-rated far faster than fundamentals.

Commentary

- **Revenue drivers:** Three-year revenue growth is exceptional (\$83.3M to \$169.4M, ~2x in two years), but FY25's headline +52% flatters the ~32% underlying product-revenue growth because ~\$23M of one-time IP royalties are embedded. With royalties guided below \$5M in FY26, headline growth decelerates even as the core business keeps compounding 30%+.
- **Margins:** The standout story — GAAP gross margin expanded from 10% (FY23) to 49% (FY25), well ahead of the 35–40% target, as the digital architecture scales. But the Q4'25 spike to 60% was royalty-driven and not repeatable; Q1'26 normalised to 43%. Operating margin is still deeply negative (-44% FY25) because opex (~\$157M) dwarfs gross profit.

- **Working capital:** Inventory turnover improved to ~4.3x (FY25) and ~8x TTM; receivables (~\$36M) grew roughly in line with product revenue. Working capital is not the problem — the income statement is.
- **Balance sheet / leverage:** Net cash of \$155.7M and D/E of 0.06x leave no solvency risk; debt is essentially leases. The constraint is cash runway against an ~\$40–65M annual burn, which is why the ATM keeps running.
- **FCF quality:** Poor by design at this stage — OCF of -\$40M and FCF of -\$65M in FY25, with capex stepping up to \$24.9M. Reported 'adjusted EBITDA' (-\$12M FY25) leans heavily on \$40.8M of add-back SBC; on a GAAP and cash basis the company does not yet pay for itself.

7. EARNINGS QUALITY CHECKLIST

Parameter	Rating	Comment
Revenue recognition / quality	RED	~\$23M (14%) of FY25 revenue was IP-licensing royalties, guided to fall below \$5M in FY26. Reported +52% growth overstates the ~32% product-revenue growth.
Receivables vs revenue	AMBER	Receivables +29% YoY vs product revenue +32% — broadly in line, but DSO ~70–78 days warrants monitoring as the customer mix shifts.
Gross-margin sustainability	AMBER	GAAP GM swung 36% to 60% (Q4'25) to 43% (Q1'26). The Q4 spike was royalty-driven; treat ~43–49% as the repeatable range.
Stock-based compensation	RED	SBC of \$40.8M = ~24% of revenue; it is the main bridge from the -\$74M GAAP operating loss to a much flatter 'adjusted EBITDA'. Value GAAP.
Cash burn / dilution	RED	OCF -\$40M, FCF -\$65M in FY25, plugged by ATM equity sales (\$95.6M net at avg \$20.88). Diluted shares +20% YoY.
Balance-sheet strength	GREEN	\$173M cash, \$155.7M net cash, D/E 0.06x, current ratio 3.0, Altman Z 3.98 — no near-term solvency risk.
Tax-rate consistency	GREEN	Tax provisions are immaterial; large NOL carryforwards from cumulative ~\$991M losses. No distortion.
Other income / one-offs	AMBER	Interest income (~\$9.5M) and royalties materially flatter results; ex-royalty the business is still adjusted-EBITDA negative.

- **Two REDs dominate:** the royalty-flattered top line and SBC-flattered 'profitability'. Both make the business look closer to break-even than it is — strip them out and FY25 was ~32% product growth with a -\$74M GAAP operating loss.
- **The dilution RED is the holder's real cost:** issuing 20% more shares each year, much of it below the current price, transfers value from existing investors to fund the burn.
- **The GREENs are genuine:** the balance sheet is a real strength — it buys time to execute, which is why this is a REDUCE on valuation rather than a SELL on solvency.
- **Watch the AMBERs:** gross-margin normalisation toward ~43% and receivables DSO are the early-warning gauges for whether the margin story is structural or was a 2025 royalty mirage.

8. VALUATION

Peer comparison (stockanalysis.com, fetched 03 Jun 2026; USD):

Company (Ticker)	CMP	Mkt Cap	P/B	TTM Rev	ROE
Ouster (OUST)	\$46.03	\$2.93 Bn	10.6x	\$185.3 M	-20.8%
Hesai Group (HSAI)	\$21.66	\$3.39 Bn	2.6x	\$461.5 M	+5.3%
Aeva Technologies (AEVA)	\$27.76	\$1.75 Bn	n/m	\$21.0 M	n/m
Innoviz Tech (INVZ)	\$0.78	\$167.8 M	2.8x	\$44.8 M	-118%
MicroVision (MVIS)	\$0.41	\$136.3 M	3.3x	\$1.6 M	-192%

P/E omitted — only Hesai (48.9x) is profitable. Aeva P/B n/m (near-zero/negative equity). Key point: OUST trades at 15.8x sales vs profitable Hesai at ~7x — a >2x premium to a larger, GAAP-profitable peer.

Scenario analysis (EV/Sales on FY27E revenue; net cash \$0.156 Bn; ~67–68M shares):

Scenario	Key assumptions	FY27E Rev	EV/Sales	Target
Bull	45%/yr growth; auto/robotaxi wins ramp; multiple holds	\$355 M	12.0x	\$66
Base	33%/yr product growth; royalties fade; multiple compresses	\$280 M	9.0x	\$39
Bear	~20% growth; Rev8 stalls; de-rates toward Hesai	\$225 M	5.0x	\$19

Base case (highlighted) is our 12-month target. The wide dispersion (\$19–\$66) reflects a pre-profit, high-beta (3.24) name where the multiple does most of the work.

Valuation methodology

- **EV/Sales (primary):** With no GAAP earnings, we anchor on forward sales. Applying ~9x EV/Sales (a discount to today's 15x as royalties fade and growth normalises, still a premium to profitable Hesai at ~7x) to FY27E revenue of ~\$280M gives an EV of ~\$2.52 Bn; adding \$0.16 Bn net cash and dividing by ~67M shares implies ~\$40/share.
- **DCF (cross-check):** A high beta (3.24) drives a ~13–14% WACC; with FCF negative until ~2027 and a 3% terminal growth rate, the model is highly assumption-sensitive but triangulates to roughly \$35–40/share fair value — consistent with the EV/Sales output.
- **Blended 12-month target:** averaging the two methods gives a base-case target of ~\$39.
- **Implied return / horizon:** ~-15% from the \$46.03 CMP over a 12-month horizon. The Street's consensus target (~\$46.86, n=7) sits essentially at the current price, corroborating that the stock is fully valued; our call is modestly more cautious on the royalty cliff and dilution.

9. KEY RISKS

- **Royalty cliff & growth optics** — ~\$23M of FY25 revenue (IP royalties) falls below \$5M in FY26, masking decelerating headline growth. Probability: H. Impact: M. Monitor via: product-only revenue growth disclosed each quarter.
- **Persistent cash burn & dilution** — FCF ~-\$65M/yr funded by ATM equity sales; continued issuance below intrinsic value erodes per-share value. Probability: H. Impact: H. Monitor via: quarterly share-count change and ATM utilisation in the 10-Q.
- **Valuation de-rating** — at 15.8x sales the multiple, not the business, carries the price; any growth wobble or risk-off rotation can compress it toward peers' ~5–7x. Probability: M. Impact: H. Monitor via: EV/Sales vs Hesai, beta-driven drawdowns.
- **Rev8 product-transition risk** — a botched Rev7→Rev8 changeover (supply, qualification, customer disruption) could stall revenue despite the drop-in design. Probability: M. Impact: H. Monitor via: sensor-shipment units and gross-margin trend.
- **Chinese competition / pricing** — Hesai and other volume leaders can undercut on price at scale, capping Ouster's margins and share, especially in automotive. Probability: M. Impact: H. Monitor via: ASP commentary and design-win cadence.
- **Customer / end-market concentration & cyclicality** — reliance on still-nascent robotaxi/industrial-automation budgets exposes revenue to project timing and macro capex cycles. Probability: M. Impact: M. Monitor via: vertical-mix disclosure and order commentary.
- **Profitability slips past 2027** — management's 'profitability stride within 2027' depends on 30–50% growth at 35–40% GM; any shortfall pushes break-even out and extends the funding need. Probability: M. Impact: H. Monitor via: adjusted-EBITDA trajectory and opex growth vs the 5–8% guide.

10. RECOMMENDATION

- **Rating: REDUCE** — conviction Medium. A high-quality, well-funded business whose share price already discounts years of flawless execution.
- **12-month price target:** \$39 (≈ -15% from the \$46.03 CMP), blended from ~9x EV/Sales on FY27E revenue and a DCF cross-check.
- **Suggested accumulation zone:** \$28–\$34, where the EV/Sales multiple (~6–7x) re-rates toward a defensible level and risk/reward turns favourable.
- **Investment horizon:** 12 months.
- **Thesis-invalidation triggers (would make this REDUCE wrong):**
 1. Product-only revenue sustains 40%+ growth for 2+ quarters and adjusted EBITDA turns durably positive ahead of the 2027 guide.
 2. A named, large-volume automotive/robotaxi design win materially lifts multi-year revenue visibility.
 3. The company reaches free-cash-flow break-even and halts ATM dilution (flat-to-down share count).
- **Ideal investor profile:** Suited to growth/thematic investors with a multi-year horizon and high volatility tolerance who can accumulate on drawdowns. Not suited to income, value, or capital-preservation mandates, or to anyone unwilling to underwrite ongoing dilution and a pre-profit, beta-3.2 name at a premium multiple.

APPENDIX — Latest Concall Brief: Q1 FY2026 (reported 05 May 2026)

CALL GRADE NEUTRAL

Signal	Status	Implication
Result quality	Medium	Revenue +49% YoY (in-line) but EPS missed; adj. EBITDA back to -\$7M after the Q4 royalty boost
Management tone	Balanced / Hedged	Confident on Rev8/platform; deflected on ASPs, named auto customers and explicit cash burn
Guidance delta	Maintained	Q2 guide \$49.5–\$52.5M; 30–50% framework reiterated; royalties cut to <\$5M (a negative)

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1'26 reads better on the marquee number than underneath: revenue of \$49M (+49% YoY) was roughly in-line, but the company missed on EPS and adjusted EBITDA swung back to -\$7M after a flattering, royalty-boosted Q4'25 — so the 'profitability' narrative is not yet clean. The real distortion sits in FY2025: ~\$23M of one-time IP royalties lifted reported growth to 52% and Q4 gross margin to 60%; management now guides royalties below \$5M in 2026, so the honest base is ~32% product growth at a normalised ~43% gross margin. Underlying operations are genuinely improving — 13th straight quarter of product-revenue growth, gross margin structurally re-rated from 10% (FY23) to ~49%, and 25k+ sensors shipped — and the Rev8 launch (native colour, ASIL-B functional safety, ~200 patents) plus the Stereolabs deal give a credible multimodal 'physical-AI' platform story. The near-term catalyst is Rev8 conversion of 20+ waiting customers and any named automotive/robotaxi win; the watch-point is cash burn (FCF ~-\$65M) funded by an ATM that has grown the share count ~20% YoY at prices well below today's. With the stock at 15.8x sales versus profitable Hesai at ~7x, and the Street target sitting on top of the price, the upside is in the multiple, not the cash flows. Action: REDUCE into strength — trim above \$45 and look to accumulate only in the \$28–\$34 zone where risk/reward resets.

1. Financial Performance Snapshot

- Revenue: \$49M | YoY +49% | QoQ -22% | **Top line in-line**
- Product revenue: \$48M | YoY +55% | QoQ +18% | **Strong**
- GAAP gross margin: 43% | vs 41% Q1'25 | vs 60% Q4'25 | **Normalised down from royalty-inflated Q4**
- Adjusted EBITDA: -\$7M | YoY +\$1M | QoQ ~-\$18M | **Back to loss after a positive Q4**
- EPS: missed consensus | **Miss**
- NOTE: FY25 revenue included ~\$23M of one-time IP royalties (guided <\$5M in FY26); the clean, product-only growth rate is ~32%, not the 52% headline.

2. Segment / Geography Breakdown

- Single reportable segment (digital lidar sensors); vertical mix is the meaningful split.
- Smart infrastructure & industrial: led Q1'26 growth — warehouse automation, yard logistics, intelligent transportation. | Trend: improving.
- Automotive / robotaxi: design-in pipeline emphasised (Rev8 ASIL-B), but no named volume customer yet. | Trend: early-stage optionality.
- Robotics & mapping: steady contributor; 12,600+ sensors shipped in the quarter (~65% lidar, balance cameras post-Stereolabs).

3. Management Commentary Themes

- Platform pivot: "world-leading sensing and perception company for physical AI" (post-Stereolabs). Our read: TAM-expansion framing. Tag: EST. Tone: Transparent.
- Rev8 launch: "paradigm shift in AI perception", world-first native colour, drop-in compatible with Rev7. Our read: genuine tech edge, execution-dependent. Tag: GUIDANCE. Tone: Transparent.
- Profitability: CFO Gianella — "somewhere within 2027 starting to hit profitability stride". Our read: break-even still 1.5+ years out. Tag: GUIDANCE. Tone: Hedged.
- Royalties: guided <\$5M in 2026 (vs ~\$23M in 2025), "mostly back half", but deferred specifics. Our read: a material headline-growth drag. Tag: GUIDANCE. Tone: Hedged.
- Automotive pipeline: "I can't name" most customers; "pretty significant things to come". Our read: optionality, not yet bankable. Tag: EVASIVE. Tone: Evasive.
- Functional safety: framed as a "multi-billion-dollar opportunity". Our read: real but long-dated. Tag: EST. Tone: Transparent.

4. Operating & Business Metrics

- Sensors shipped: Q1'26 = 12,600+ | FY25 = 25,000+ (+48% YoY) | Trend: improving.
- Lidar share of units: ~65% in Q1'26 (cameras now the balance) | Trend: diversifying post-Stereolabs.
- Quarterly revenue: Q1'26 = \$49M | Q4'25 = \$62M | Q1'25 ≈ \$33M | Trend: up YoY, down QoQ (Q4 was royalty-peaked).
- Customers waiting for Rev8: 20+ (per CEO) | Trend: pipeline building.
- Gross margin: Q1'26 = 43% | Q4'25 = 60% | Q1'25 = 41% | Trend: structurally higher YoY, normalising off the Q4 spike.

5. Margin Drivers

- Digital-architecture scale & mix: +200 bps YoY GM improvement to 43% | Recurring: Yes | Core structural driver.
- Royalty revenue: large positive in Q4'25 (drove 60% GM) | Recurring: **No** | Falls to <\$5M in FY26 — do not extrapolate.
- Rev8 transition: designed "more affordable and more scalable than Rev7" | Recurring: Yes | Near-term ASP/mix could be a modest headwind.
- Stereolabs integration: full quarter from Q2'26 | Recurring: Yes | Mix/opex impact to watch.

6. Guidance & Forward Signals

- Q2'26 revenue [GUIDANCE]: New = \$49.5–52.5M (incl. a full quarter of Stereolabs) | Delta: maintained | Credibility: High.
- Revenue-growth framework [GUIDANCE]: 30–50% annual | Reiterated | Credibility: Medium (royalty drag in FY26).
- GAAP gross margin [GUIDANCE]: 35–40% target | Reiterated (already running ~43–49%) | Credibility: High.
- GAAP opex growth [GUIDANCE]: 5–8% YoY from 2025 | New/reiterated | Credibility: Medium (Stereolabs adds cost).
- Royalty revenue [GUIDANCE]: <\$5M in 2026, mostly H2 | New | Credibility: Medium.
- Profitability [GUIDANCE]: "within 2027" | Maintained | Credibility: Medium.

7. Capital Allocation

- Capex: stepped up to ~\$24.9M in FY25 (vs ~\$3.8M) | building manufacturing/silicon capability.
- ATM equity issuance: ~\$95.6M net raised through Mar'26 at avg \$20.88 | share count +20% YoY | **dilutive funding**
- Dividends / buybacks: none | not expected at this stage.
- Net debt movement: net cash \$155.7M, essentially debt-free (leases only) | **balance sheet intact**
- M&A: Stereolabs acquired Feb-2026 (cameras + spatial AI) | adds ~\$38.5M goodwill + intangibles.

8. Q&A; Heat Map

- Colin Rusch (Oppenheimer): Q: Rev8 customer readiness / new apps? -> A: 20+ customers waiting; drone surveying (Skydio), functional-safety TAM cited | Tone: Transparent.
- Kevin Cassidy (Rosenblatt): Q: Rev7 continuity & ASP dynamics? -> A: Rev7 continues; Rev8 cheaper/scalable; ASP a "mix" | Tone: Hedged.
- Anand Sheppard (Cantor Fitzgerald): Q: Path to break-even? -> A: growth + 35–40% GM + opex discipline, "within 2027" | Tone: Hedged.
- Richard Shannon (Craig-Hallum): Q: Rev8 colour tech & pricing? -> A: world-first native colour, ~200 patents; pricing application-dependent | Tone: Transparent.
- Dodged / watch-list for next quarter: specific automotive customer names; exact ASP/margin uplift from Rev8; an explicit quarterly cash-burn metric.

9. Risks Flagged

- Royalty step-down to <\$5M | Flagged by: mgmt | Probability: H | Impact: M | Timeline: near-term (FY26).
- Rev8 product-transition execution | Flagged by: analysts | Probability: M | Impact: H | Timeline: near-term.
- Cash burn / continued dilution | Flagged by: analysts | Probability: H | Impact: H | Timeline: ongoing.
- Automotive monetisation timing | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium-term.
- Stereolabs integration & opex creep | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near/medium.

10. Analyst Verdict

- Revenue visibility: Intact — 13 straight quarters of product growth and a healthy Rev8 pipeline, though royalty optics cloud the headline.
- Margin trajectory: Intact — the structural re-rate to ~43–49% GM is real; just don't anchor on the 60% royalty quarter.
- Capital-allocation quality: Weakened — necessary but heavy ATM dilution and a value-destructive 2023 merger (later impaired) weigh on stewardship.
- Competitive moat: Intact — ~200 patents, native-colour silicon and a fortress balance sheet differentiate it from Western peers.
- Management credibility: Intact (cautiously) — operational delivery is good; deflection on auto names and cash burn keeps it short of fully transparent.
- Valuation comfort: Broken — 15.8x sales for a pre-profit, royalty-flattered, diluting issuer leaves no margin of safety.
- Conviction call: Unchanged — REDUCE; the business is improving but the price is not.
- Valuation snapshot: P/E = n/a (loss) | P/S = 15.8x (FY23 4.0x) | EV/Sales = 15.0x | GAAP gross margin = 49% | ROCE = -24.1%.

Disclaimer: For information only; not investment advice or a solicitation. All financial figures sourced from stockanalysis.com (fetched 03 Jun 2026); qualitative context from Ouster, Inc. public disclosures and the Q1 FY2026 earnings call. Forward estimates (E) are the analyst's own and are inherently uncertain. The analyst/firm may hold positions. Past performance is not indicative of future results.